Sales Terms and Discount Policy

Demo Pumps Pvt. Ltd. · Document ST-03 · Version 1.0, effective 01-Apr-2026

1. Payment terms

Customer type	Payment terms	Notes
OEM customers (domestic)	60 days from invoice date	Credit limit set by Finance every year
After-market (AFT) customers and dealers	30 days from invoice date	First order: 100% advance
Service customers	15 days from invoice date	Repairs and annual maintenance contracts
Export customers	30% advance, 70% against shipping documents	Or a letter of credit (LC) at sight

Late payment: 1.5% interest per month on overdue amounts. Deliveries may be put on hold when an invoice is more than 30 days overdue.

2. Prices and currencies

Domestic prices are in INR before GST. Export prices are in JPY for customers in Japan and in USD for other countries; the rate is fixed on the order date.

3. GST

Item	GST rate
Pumps and hydraulic motors	18%
Spare parts and seal kits	18%
Repair and maintenance service	18%
Export (zero-rated supply under LUT)	0%

4. Discount policy

Discounts are given on the list price before GST. The person who may approve a discount depends on its size:

Discount on list price	Who may approve
Up to 5%	Sales person (no approval needed)
Above 5% up to 10%	Regional Sales Manager
Above 10% up to 15%	Sales Head
Above 15%	Managing Director only

Volume discount: an order above INR 10,00,000 (before GST) gets an extra 2%, on top of the discounts above. OEM yearly contracts may fix their own prices; those contract prices replace this table.

5. Delivery and freight

- Domestic: prices are ex-works; freight is charged on the invoice at actual cost.
- Free freight for domestic orders above INR 2,00,000 before GST.
- Export: FOB Chennai port by default; CIF on request.
- Promised delivery dates are written on every sales order; we inform the customer of any delay.

6. Order cancellation

A standard order can be cancelled free of charge before dispatch. Special (made-to-order) pumps can be cancelled only before production starts; after that, 25% of the order value is charged.